First Impressions: NZ retail card spending, September 2026

#retail #newzealand



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09:31 October 16 2026

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Retail spending disappointed in September as higher fuel prices crimped spending on nice to haves.



Retail spending

Monthly change: -0.4% (prev: -0.9%, Westpac forecast: +0.8%)

Annual change: 0.9% (prev: 0.2%)

Core retail spending (excluding fuel/autos)

Monthly change: -0.7% (prev: -1.1%)

Annual change: 0.1% (prev: Flat)

Spending declines unexpectedly in September

Retail spending, as measured by electronic card payments, decreased 0.4%m/m in September following an unrevised 0.9% decline in August. This a weaker result than we had expected based on the recent sawtooth pattern and our own internal data. Unsurprisingly, with petrol prices rebounding late in the month, spending on fuel increased 2.9%mth. However, core spending, which excludes spending on fuel and vehicles, fell 0.7%m/m.

While spending on consumables (groceries) increased modestly in September, this was at the expense of spending on nice to haves. Spending on hospitality suffered a further 2.3%mth fall following a 1.9%mth decline in August, and spending on apparel replicated the 2.0%mth decline reported in August. Spending on durable goods also fell slightly in September (-0.4%mth).

Despite the weak outcome for the August and September months, retail spending over the September quarter still eked out a minor 0.1% gain, while core spending increased 0.4%. Given higher prices, at face value this points to a weak quarter for volumes (next week's CPI report will cast more light on pricing behaviour during the quarter). It is worth noting that total retail spending, as will be depicted in the official quarterly retail sales survey released next month, could point to somewhat stronger growth. Purchases of big-ticket items that often are bought on credit – such as cars, furniture and appliances – are underrepresented in the electronic card spending survey.

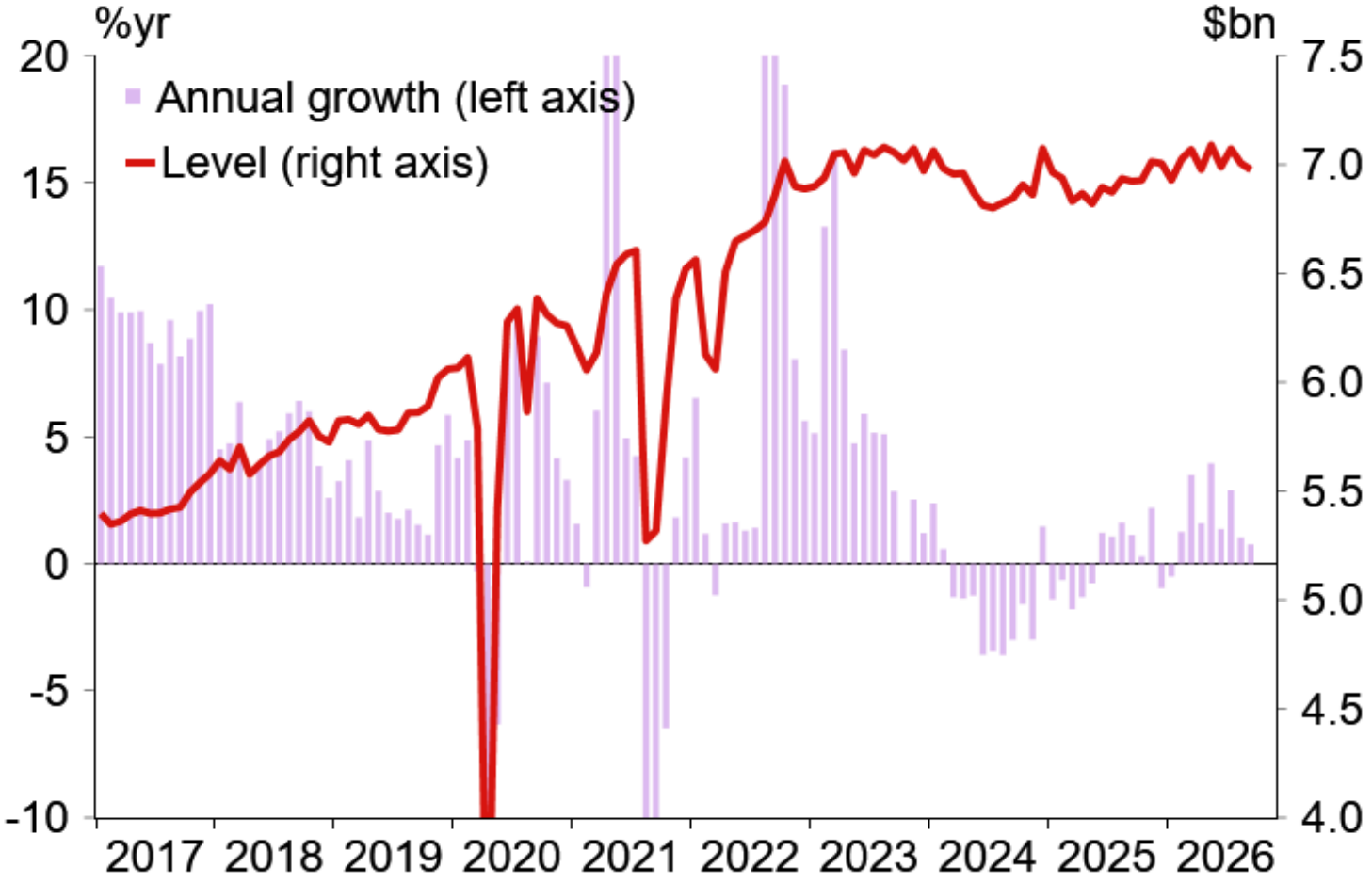
Looking ahead, at least in the near term, the recent sharp rebound in fuel prices has again siphoned money out of households' pockets at a time when growth in wages (and labour incomes more generally) remains weak. Therefore, we anticipate that growth in consumer spending volumes will remain subdued – with regional variations dependent on exposure to the well-performing export sector – even as the value of spending rises due to higher prices. What happens beyond this year will depend on how the Middle East conflict evolves and how the RBNZ responds to the near-term spike in inflation.

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Electronic card spending, retail sector



Sources: Macrobond, Stats NZ, Westpac

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